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UPDATE

April 1, 2026 08:42 AM GMT

Zhen Ding | Asia Pacific

China Summit 2026 Feedback: Implications from Avary

Main growth drivers in CY26-27 include mSAP PCB for optical modules, HDI for AI server compute boards and HLC PCB (N+M structure) for AI server UBBs.

AI GPU PCB: Mgmt said the company is qualified and will start MP OAM HDIs in compute trays for the leading GPU customer this year, while also qualifying switch PCB and sampling midplane PCB with them.

800G/1.6T optical module PCB is under-supplied this year. Avary is the leading supplier for this, with Unimicron and Shennan as key competitors. Mgmt expects its CY26 optical module PCB rev to reach ~Rmb2B.

CSP customers: Avary will also supply mainboard/UBB PCBs to CSPs such as AWS, Google and likely Microsoft. Near-term contributions will come mainly from mainboards, while accelerator UBB will take more time to ramp.

CoWoP: Avary is working on this solution, but did not say when MP will begin.

CY26 capex: Rmb16.8bn — 70% for RPCB (70% mSAP, <20% HLC, and the rest is HDI), 20% for FPCB, 10% for maintenance capex.

Equipment bottleneck? While eqpt lead times have lengthened, mgmt does not view this as a constraint to capacity expansion.

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao
Equity Analyst
Howard.Kao@morganstanley.com +886 2 2730-2989

Sharon Shih
Equity Analyst
Sharon.Shih@morganstanley.com +886 2 2730-2865

Irene Yen
Research Associate
Irene.Yen@morganstanley.com +886 2 2730-2869

Zhen Ding (4958.TW, 4958 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	NT$145.00
Up/downside to price target (%)	(34)
Shr price, close (Apr 1, 2026)	NT$219.50
52-Week Range	NT$234.50-84.20
Sh out, dil, curr (mn)	945
Mkt cap, curr (mn)	US$6,494
EV, curr (mn)	US$6,076
Avg daily trading value (mn)	US$75

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (NT$)**	9.67	6.98	11.85	14.99
Prior EPS (NT$)**	-	-	-	-
EPS (NT$)§	9.25	8.38	11.87	16.47
Revenue, net (NT$ mn)	171,664	182,522	209,959	234,744
EBITDA (NT$ mn)	29,200	22,918	27,016	24,247
ModelWare net inc (NT $ mn)	9,180	6,791	11,532	14,589
P/E	12.4	20.4	18.5	14.6
P/BV	0.7	0.8	1.2	1.1
RNOA (%)	6.5	7.4	8.9	9.9
ROE (%)	6.8	4.5	7.5	9.0
EV/EBITDA	3.2	5.8	8.4	9.5
Div yld (%)	2.7	3.4	1.4	2.4
FCF yld ratio (%)	15.1	(9.8)	(5.8)	1.1
Leverage (EOP) (%)	(23.5)	(11.2)	(1.4)	(0.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Zhen Ding (4958.TW)

Base case, residual income model. Key assumptions include a cost of equity of 10%, a medium-term growth rate of 5% and a terminal growth rate of 3%.

Risks to Upside

- Higher-than-expected F-PCB content increase for iPhones
- Better-than-expected production yield/share allocation for SLP
- Share gains on higher margin F-PCB pieces

Risks to Downside

- Worse-than-expected iPhone sell-through
- Lower-than-expected F-PCB content increase for iPhones
- Worse-than-expected production yield/share allocation for SLP
- Increasing competition from Chinese peers, intensifying pricing pressure

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(as of March 31, 2026)
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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
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Stock Price, Price Target and Rating History (See Rating Definitions)

Stock Rating History: 4/1/21 : U/I; 8/2/22 : E/I

Price Target History: 3/30/21 : 105; 8/2/22 : 124; 11/4/22 : 126; 3/14/23 : 120; 8/10/23 : 93; 3/13/24 : 108; 5/11/24 : 110; 7/15/24 : 136; 8/13/24 : 130; 9/15/24 : 129; 3/12/25 : 120; 4/23/25 : 89; 8/13/25 : 128.5; 1/16/26 : 145

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/01/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$34.50
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb86.98
BYD Electronics (0285.HK)	O (04/28/2023)	HK$27.64
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb9.68
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.02
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb460.60
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT$451.50
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.29
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb30.72
Largan Precision (3008.TW)	E (10/17/2025)	NT$2,190.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.86
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb8.83
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$7.84
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb74.73
Shanghai Conant Optical Co Ltd (2276.HK)	E (09/11/2025)	HK$46.18
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.51
Sunny Optical (2382.HK)	E (03/23/2026)	HK$56.95
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb333.33
Wingtech Technology Co Ltd (600745.SS)	E (11/10/2023)	Rmb31.65
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$32.02
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb308.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK$185.90
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb102.63
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb23.22
Zhongji Innolight Co Ltd (300308.SZ)	O (11/06/2023)	Rmb601.87
ZTE Corporation (0763.HK)	E (03/11/2024)	HK$22.46
ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb32.99

Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,660.00
Advantech (2395.TW)	O (01/20/2021)	NT$331.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,025.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$15.95
Bizlink (3665.TW)	O (03/10/2025)	NT$1,910.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.01
BOE Varitronix Ltd (0710.HK)	O (06/20/2023)	HK$4.27
Chenbro (8210.TW)	O (07/23/2025)	NT$899.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,610.00
E Ink Holdings Inc. (8069.TWO)	E (01/07/2026)	NT$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$49.30
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$233.50
Innolux (3481.TW)	E (04/07/2025)	NT$25.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$3,455.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb28.62
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT$93.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb11.85
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.32
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.04
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb127.70
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$27.30
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$567.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$27.45
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$7.46
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$232.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$946.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb58.48
Lenovo (0992.HK)	E (11/16/2025)	HK$9.50
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT$2,125.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$574.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$78.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$290.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb55.10
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb231.00
Unimicron (3037.TW)	O (02/23/2026)	NT$488.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT$127.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$3,420.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$251.50
Zhen Ding (4958.TW)	E (08/02/2022)	NT$219.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$2,110.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$920.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$189.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,475.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT$1,925.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb53.32
Foxconn Technology (2354.TW)	U (04/23/2025)	NT$52.50
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb22.80
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$197.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$1,730.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.96
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$147.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb50.40

Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT$128.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT$149.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$263.50

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